

MERIDIAN ROBOTICS, INC.

Form 10-K

Annual Report for the Fiscal Year Ended December 31, 2023

Commission File Number: 001-99999 (fictional, for development/testing only)

Item 7. Management's Discussion and Analysis

Total revenue for fiscal year 2023 was \$184.6 million, compared to \$162.3 million in fiscal year 2022, an increase of 13.7%. The increase was primarily driven by higher unit shipments of our warehouse automation platform.

Research and development expense increased to \$28.9 million in fiscal year 2023, compared to \$24.1 million in fiscal year 2022, reflecting continued investment in our next-generation robotics platform.

Item 7. Management's Discussion and Analysis (continued)

During the third quarter of fiscal year 2023, we recorded a goodwill impairment charge of \$6.4 million related to our Industrial Sensing reporting unit, following a decline in projected cash flows for that unit.

We did not declare or pay any cash dividends on our common stock during fiscal year 2023 or fiscal year 2022, and we do not anticipate paying cash dividends in the foreseeable future.

Item 8. Consolidated Statements of Operations

(in millions, except per share data)	FY2023	FY2022
Total revenue	\$184.6	\$162.3
Cost of revenue	\$97.2	\$88.0
Gross profit	\$87.4	\$74.3
Research and development	\$28.9	\$24.1
Selling, general and administrative	\$31.5	\$27.8
Goodwill impairment	\$6.4	\$0.0
Operating income	\$20.6	\$22.4
Net income	\$16.1	\$17.9
Diluted earnings per share	\$0.62	\$0.70

Item 8. Consolidated Balance Sheets

(in millions)	Dec 31, 2023	Dec 31, 2022
Cash and cash equivalents	\$52.3	\$41.8
Total current assets	\$121.7	\$104.2
Goodwill	\$38.1	\$44.5
Total assets	\$243.9	\$228.6
Total current liabilities	\$58.4	\$52.1
Long-term debt	\$45.0	\$50.0
Total liabilities	\$121.3	\$118.9
Total stockholders' equity	\$122.6	\$109.7

Notes to Consolidated Financial Statements - Note 6: Goodwill and Intangible Assets

The Company's Industrial Sensing reporting unit experienced a decline in projected future cash flows during the third quarter of fiscal 2023, which triggered an interim goodwill impairment test. As a result, the Company recorded a goodwill impairment charge of \$6.4 million, reducing the carrying value of goodwill for that reporting unit to zero.

Notes to Consolidated Financial Statements - Note 9: Debt

As of December 31, 2023, the Company's long-term debt consisted of \$45.0 million outstanding under its term loan facility, which matures on June 30, 2027 and bears interest at a rate of SOFR plus 2.25%.

Item 1A. Risk Factors (excerpt)

We depend on a limited number of suppliers for certain critical components used in our robotics platforms. A significant disruption to any of these suppliers, including due to geopolitical events or natural disasters, could materially and adversely affect our ability to manufacture and deliver our products on schedule.

Note 11: Segment Information

(in millions)	FY2023 Revenue	FY2022 Revenue
Warehouse Automation	\$139.0	\$118.7
Industrial Sensing	\$45.6	\$43.6